

# JAPAN 2015

## Table of Contents

|                                                    |    |
|----------------------------------------------------|----|
| 1. Overview of the tax-benefit system .....        | 1  |
| 2. Unemployment insurance .....                    | 2  |
| 3. Unemployment assistance .....                   | 7  |
| 4. Social assistance .....                         | 8  |
| 5. Housing benefits for rented accommodation ..... | 14 |
| 6. Family benefits .....                           | 16 |
| 7. Childcare for pre-school children .....         | 19 |
| 8. Employment-conditional benefits .....           | 21 |
| 9. Lone-parent benefits .....                      | 23 |
| 10. Tax system .....                               | 27 |
| 11. Part-time work .....                           | 31 |
| 12. Policy developments .....                      | 32 |

## Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at [www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives).

### 1. Overview of the tax-benefit system

Unemployed people can receive unemployment insurance benefit (basic allowance) for a period that varies according to the reasons for leaving employment, age and the duration of insured employment. Subject to certain conditions, social assistance, including housing assistance, is also available for people with limited means. Child Allowance is paid to parents until the child completes junior high school education. Central and local government taxation is separate.

#### 1.1. Average Worker wage (AW)

The national currency is the Yen (JPY). In 2015, the average worker is assumed to earn JPY 5005807 (Secretariat estimate).

## 2. Unemployment insurance

|                                                                 |                                                                                   |                                                                                                                                                          |
|-----------------------------------------------------------------|-----------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|
| Program name in local language                                  |                                                                                   | Koyo hoken (Employment insurance)                                                                                                                        |
| Insurance is voluntary(V) or compulsory(C) for employees        |                                                                                   | C                                                                                                                                                        |
| Employment record (E) and contribution (C) conditions           |                                                                                   | E + C: more than 12 months over 2 years before unemployment (in case of bankruptcy or dismissal , more than 6 months in the year preceding unemployment) |
| Waiting period (days)                                           |                                                                                   | 7                                                                                                                                                        |
| Maximum duration (months)                                       |                                                                                   | 12                                                                                                                                                       |
| Uprating mechanism of the benefit                               |                                                                                   | ...                                                                                                                                                      |
| Calculation of unemployment insurance benefit:                  | initial benefit as % of calculation base                                          | 50 to 80% depending on level of ref. earnings                                                                                                            |
|                                                                 | benefit at the end of legal entitlement period in % of calculation base           | same as initial                                                                                                                                          |
|                                                                 | Calculation base(2)                                                               | Gross                                                                                                                                                    |
|                                                                 | Permitted employment and disregards when receiving unemployment insurance benefit | None permitted                                                                                                                                           |
| Benefit provision (eligibility (E), generosity (G)) varies with | age                                                                               | G: +/- due to different parameters for 60 to 65 year olds; lump sum payments for 65+ year olds                                                           |
|                                                                 | family situation                                                                  | G: + longer maximum duration if unable to work because of sickness, childbirth or childcare                                                              |
|                                                                 | contract type                                                                     | n.a.                                                                                                                                                     |
|                                                                 | other                                                                             | n.a.                                                                                                                                                     |

### 2.1 Conditions for receipt

Eligibility depends on the reasons for leaving employment whether or not the person left voluntarily. There are three difference benefit duration - for more detail please refer to item 2.4.

In order to obtain the basic allowance, he or she must carry out job-seeking activities at least twice during the period in which they are receiving the benefit. Examples of job seeking activities are as follows:

- Application for a job offer
- Undergoing a consultation, job matching services, seminar or lecture etc. offered by an MHLW-authorized private employment services (PES) or another public organisation.
- Taking an examination towards a qualification that is conducive to re-employment

Reference date for all information is **July 1<sup>st</sup> 2015**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

### 2.1.1 *Employment conditions*

The applicant must have been insured for a period of more than 12 months, with more than 11 days per month, over 2 years before unemployment. ( Applicants who are made redundant or are unemployed as a result of bankruptcy or dismissal must have been insured for a period of more than 6 months over 1 year before unemployment.)

#### *Before October 2007*

Normal workers: more than six months (worked more than 14 days in a month) of UI membership in 1 year.

Part-time workers: more than twelve months (worked more than 11 days in a month) of UI membership in 2 years

#### *After October 2007*

Normal cases: more than twelve months (worked more than 11 days) of UI membership in 2 years.

Dismissal, bankruptcy: six months (worked more than 11 days) of UI membership in 1 year. This normally does not include the refusal of renewal of fixed term contracts. But if the employer had shown their willingness to renew the fixed term contract but did not actually renew it, six months of membership is enough. In the OECD calculations are used this case.

#### *After April 2009*

In the case of the refusal of fixed term contracts, six months of membership is enough.

## 2.1.2 Contribution conditions

|                                    | Employers           | Employees         | Total                |
|------------------------------------|---------------------|-------------------|----------------------|
| Premiums for unemployment benefits | $\frac{5}{1,000}$   | $\frac{5}{1,000}$ | $\frac{10}{1,000}$   |
| Premiums for Two Services          | $\frac{3.5}{1,000}$ | None              | $\frac{3.5}{1,000}$  |
| Total                              | $\frac{8.5}{1,000}$ | $\frac{5}{1,000}$ | $\frac{13.5}{1,000}$ |

## 2.2 Calculation of benefit amount

### 2.2.1 Calculation of gross benefit

The basic allowance is calculated from the daily amount of wages (DAW). DAW is the amount obtained by dividing the total amount of wages, excluding bonuses, paid over the previous 6 months, by 180 days.

The daily amount of basic allowance (DABA) is calculated as below.

DABA is calculated for those less than 60 years old using the following formula:

- i) If  $DAW < 4600$   $DABA = 0.8DAW$
- ii) If  $4600 \leq DAW < 11660$   $DABA = DAW \times BR_1$   
 $BR_1 = 0.8 - [(0.3 \times (DAW - 4600)) / (11660 - 4600)]$
- iii) If  $11660 \leq DAW$   $DABA = 0.5DAW$

\*Note:  $2300 \leq DAW \leq$  the maximum amount (as shown in the table below).

#### **The maximum amount of DAW**

| Age     | In JPY |
|---------|--------|
| - 29    | 12790  |
| 30 - 44 | 14210  |
| 45 - 59 | 15620  |

The DABA for recipients who are between 60 and 64 is calculated using the following formula:

- i) If  $DAW < 4600$   $DABA = 0.8DAW$
- ii) If  $4600 \leq DAW < 10500$   $DABA = \min\{DABA_1, DABA_2\}$   
 $DABA_1 = DAW \times BR_2$   
 $BR_2 = 0.8 - [(0.35 \times (DAW - 4600)) / (10500 - 4600)]$   
 $DABA_2 = 0.05DAW + (10500 \times 0.4)$
- iii) If  $10500 \leq DAW$   $DABA = 0.45DAW$

\*Note:  $2300 \leq DAW \leq 14920$

**2.2.2 Income and earnings disregards for benefit recipients and those starting a new job**

Unemployment benefit is not means-tested, and the benefit stops when the recipient is employed or starts his/her own business. Means-tested social assistance can be used to complement the unemployment benefit.

**2.3 Tax treatment of benefit and interaction with other benefits**

Tax treatment of benefit : Not subject to taxation.

Interaction with other benefits : It is adjusted in relation to pension benefits.

**2.4 Benefit duration and waiting periods**

It is paid on four weekly basis, following a seven-day waiting period, for a period that varies from 90 to 360 days according to the period of insured employment, the age of the recipient and the reason for leaving employment, as outlined below. One can become eligible once he/she meets requirements again.

**(1) Duration of benefits for the ordinary unemployed (exclude (2))**

| Classification | Insured period (in years) |         |         |          |            |
|----------------|---------------------------|---------|---------|----------|------------|
|                | Less than 1               | 1 to 4  | 5 to 9  | 10 to 19 | 20 or more |
| All ages       | —                         | 90 days | 90 days | 120 days | 150 days   |

**(2) Duration of benefits for persons difficult to re-employ**

| Age             | Insured period (in years) |          |        |          |            |
|-----------------|---------------------------|----------|--------|----------|------------|
|                 | Less than 1               | 1 to 4   | 5 to 9 | 10 to 19 | 20 or more |
| Younger than 45 | 150 days                  | 300 days |        |          |            |
| 45 – 64         |                           | 360 days |        |          |            |

**(3) Duration of benefits for the unemployed as a result of bankruptcy, dismissal, etc. (exclude (2))**

| Age             | Insured period (in years) |          |          |          |            |
|-----------------|---------------------------|----------|----------|----------|------------|
|                 | Less than 1               | 1 to 4   | 5 to 9   | 10 to 19 | 20 or more |
| Younger than 30 | 90 days                   | 90 days  | 120 days | 180 days | —          |
| 30 – 34         | 90 days                   | 90 days  | 180 days | 210 days | 240 days   |
| 35 – 44         | 90 days                   | 90 days  | 180 days | 240 days | 270 days   |
| 45 – 59         | 90 days                   | 180 days | 240 days | 270 days | 330 days   |
| 60 – 64         | 90 days                   | 150 days | 180 days | 210 days | 240 days   |

Reference date for all information is **July 1<sup>st</sup> 2015**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

\*The number of unemployment benefit days for fixed-term workers who are unable to renew their contracts is, in principle, set out in table (1) “Duration of benefits for the ordinary unemployed”, but the regulations under table (3) “Duration of benefits for the unemployed as a result of bankruptcy, dismissal, etc” will apply until the end of FY2016.

A unique feature of the employment insurance is the re-employment allowance: a lump sum is paid to a recipient of unemployment benefit who acquires steady employment or starts his/her own business with a certain amount of benefit period remaining. The conditions and ensuing amount of allowance are as follows:

| Condition                                                            | Amount                                                                                 |
|----------------------------------------------------------------------|----------------------------------------------------------------------------------------|
| More than two-thirds of the prescribed duration of benefit remaining | The remaining benefit period $\times$ 0.6 $\times$ the daily amount of basic allowance |
| More than one-third of the prescribed duration of benefit remaining  | The remaining benefit period $\times$ 0.5 $\times$ the daily amount of basic allowance |

## 2.5 *Treatment of particular groups*

### 2.5.1 *Young persons*

None.

### 2.5.2 *Older workers*

When older workers equal to or over 65 lose their job, the benefits for them are paid as a lump sum.

| Insured employment<br>(years) | The benefit amount<br>(JPY)         |
|-------------------------------|-------------------------------------|
| Less than 1                   | 30 daily benefit of basic allowance |
| 1 –                           | 50 daily benefit of basic allowance |

The daily amount of basic allowance is calculated in the same way as that of recipients under 30 years old.

### 2.5.3 *Others if applicable, including disabled*

### **3. Unemployment assistance**

None

#### **3.1 Conditions for receipt**

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

#### **3.2 Calculation of benefit amount**

3.2.1 *Calculation of gross benefit*

3.2.1.1 *Irregular additional payments*

3.2.1.2 *Obligations of family members*

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

#### **3.3 Tax treatment of benefit and interaction with other benefits**

#### **3.4 Benefit duration and waiting periods**

#### **3.5 Treatment of particular groups**

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable, including disabled*

**4. Social assistance**

Social assistance consists of eight types of support offered to those who are unable to provide minimum living standards. These are: livelihood assistance, housing assistance, medical assistance, long-term care assistance, occupational assistance, education assistance, maternity assistance and funeral assistance. Only livelihood assistance and housing assistance are considered here. The selected rates are classified as Grade 1-1, as paid in Tokyo.

Social assistance is provided to a certain extent to supplement the shortfall experienced by people in need of protection based on demand gauged by the standards fixed by the Minister of Health, Labour and Welfare. The standards should be sufficient one to satisfy the minimum demands of their livelihood by means of considering the circumstances according to the age, gender, family members, regions and nature of means of assistance, but besides which it should not be exceeded.

| Program name in local language                             |                                                                                                       | Seikatsu hogo (Social Assistance)                                                                                          |
|------------------------------------------------------------|-------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------|
| Minimum age condition for social assistance receipt        |                                                                                                       | No                                                                                                                         |
| Legal behavioural requirements                             | Registration as unemployed                                                                            | No                                                                                                                         |
|                                                            | Participation in integration measures                                                                 | No                                                                                                                         |
|                                                            | Active job search                                                                                     | No                                                                                                                         |
|                                                            | Work requirement                                                                                      | No                                                                                                                         |
|                                                            | Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT)) | No                                                                                                                         |
|                                                            | Legal behavioural requirements for adult family members other than the benefit claimant               | No                                                                                                                         |
| Determination of benefit levels                            |                                                                                                       | Regional                                                                                                                   |
| Up-rating mechanism of the benefit                         |                                                                                                       | ...                                                                                                                        |
| Other supplements to basic benefit (per family)            |                                                                                                       | Winter supplementary assistance from November through March; housing assistance                                            |
| Means-test for social assistance                           | Earnings disregards                                                                                   | Yes                                                                                                                        |
|                                                            | Benefit withdrawal rate with regard to earned income                                                  | Up to a certain amount is fully deducted, thereafter is deducted at a constant rate.– see section 4.2.2 in country chapter |
|                                                            | Assets included in means test?                                                                        | Yes                                                                                                                        |
|                                                            | Other benefits included in the means test                                                             | Unemployment insurance (including re-employment allowance), emergency housing assistance                                   |
| Benefit provision (eligibility (E), generosity (G)) varies | age                                                                                                   | G: + up to age 19, then decreases                                                                                          |
|                                                            | family situation                                                                                      | G: + with each household member                                                                                            |
|                                                            | over time                                                                                             | n.a.                                                                                                                       |

|      |       |      |
|------|-------|------|
| with | other | n.a. |
|------|-------|------|

#### **4.1 Conditions for receipt**

Social assistance is based on gross earned income. The difference between the amount of gross earnings of the household and the amount of standard will be provided.

Social assistance covers people who are classed as in poverty, despite receiving several kinds of social security measures, and having made use of all available assets, such as real estate, and all capacities to work

#### **4.2 Calculation of benefit amount**

##### **4.2.1 Calculation of gross benefit**

Livelihood assistance is made up of two types of benefit:

- Livelihood assistance that correspond to personal expenses (Category 1) related to the age of each family member:

| Age   | Basic Amount (1)<br>(JPY per month) | Basic Amount (2)<br>(JPY per month) |
|-------|-------------------------------------|-------------------------------------|
| 0-2   | 21,510                              | 26,660                              |
| 3-5   | 27,110                              | 29,970                              |
| 6-11  | 35,060                              | 34,390                              |
| 12-19 | 43,300                              | 39,170                              |
| 20-40 | 41,440                              | 38,430                              |
| 41-59 | 39,290                              | 39,360                              |
| 60-69 | 37,150                              | 38,990                              |
| 70-   | 33,280                              | 33,830                              |

- Household expenses (Category 2) related to the number of family members:

| Basic Amount and Additional Amount | 1      | 2      | 3      | 4      | 5                                        |
|------------------------------------|--------|--------|--------|--------|------------------------------------------|
| Basic Amount (1) (JPY per month)   | 44,690 | 49,460 | 54,840 | 56,760 | 57,210                                   |
| Basic Amount (2) (JPY per month)   | 40,800 | 50,180 | 59,170 | 61,620 | 65,690                                   |
| Basic Amount and Additional Amount | 6      | 7      | 8      | 9      | 10 and more amount to add per 1 increase |
| Basic Amount (1) (JPY per month)   | 57,670 | 58,120 | 58,570 | 59,020 | 450                                      |
| Basic Amount (2) (JPY per month)   | 69,360 | 72,220 | 75,080 | 77,940 | 2,860                                    |

Livelihood assistance is calculated by adding together the amounts in Category 1 for each family member and the amounts in Category 2.

Calculating the standard amount of living expenses is as follows:

- The standard amounts of living expenses are calculated on a household basis and the amount is obtained using the following formula, and fractional part of less than 10 yen is rounded up to 10 yen.
- The following amount prescribed in the table for temporary assistance for term end will be added for the standard amount of December.

$$= (A * 0/3) + (B * 3/3) + C$$

A Total sum of the following amounts (a) and (b)

a) multiply the sum of each family member's standard amount(1) stipulated in the table of category 1 by the following rate(1) corresponding to the number of the family members stipulated in the table for diminishing rate.

b) the standard amount (1) stipulated in the table of category 2

B Total sum of the following amounts (c) and (d), except the total sum is less than the amount obtained by multiplying the total sum A by 0.9, in that case B should be the latter amount.(A x 0.9)

c) multiply the sum of each family member's standard amount (2) stipulated in the table of category 1 by the following rate(2) corresponding to the number of the family members stipulated in the table for diminishing rate.

d) the standard amount (2) stipulated in the table of category 2

C Winter supplementary assistance by districts stipulated in the table of category 2.

Reference date for all information is **July 1<sup>st</sup> 2015**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

Diminishing rate:

| Number of family members | 1      | 2      | 3      | 4      | 5      |
|--------------------------|--------|--------|--------|--------|--------|
| Rate (1)                 | 1.0000 | 1.0000 | 1.0000 | 0.9500 | 0.9000 |
| Rate (2)                 | 1.0000 | 0.8850 | 0.8350 | 0.7675 | 0.7140 |

| Number of family members | 6      | 7      | 8      | 9      | 10 and more |
|--------------------------|--------|--------|--------|--------|-------------|
| Rate (1)                 | 0.9000 | 0.9000 | 0.9000 | 0.9000 | 0.9000      |
| Rate (2)                 | 0.7010 | 0.6865 | 0.6745 | 0.6645 | 0.6645      |

Temporary assistance for term end:

| Number of family members | 1      | 2      | 3      | 4      | 5      |
|--------------------------|--------|--------|--------|--------|--------|
| Amount (JPY per month)   | 13,890 | 22,650 | 23,340 | 26,260 | 27,370 |

| Number of family members | 6      | 7      | 8      | 9      | 10 and more amount to add per 1 increase |
|--------------------------|--------|--------|--------|--------|------------------------------------------|
| Amount (JPY per month)   | 31,120 | 33,060 | 35,010 | 36,670 | 1,670                                    |

Housing assistance is also available.

| Number of family members        | 1     | 2-    | 3-5   | 6     | 7-    |
|---------------------------------|-------|-------|-------|-------|-------|
| Basic amount (in JPY per month) | 53700 | 64000 | 69800 | 75000 | 83800 |

Supplementary child assistance is available:

10,000-15,000 yen per month is paid to those who take care of the child for each child until the 31<sup>th</sup> of March following their 15<sup>th</sup> birthday (The OECD model assumes a payment of 13,000 yen is paid)

Supplementary lone-parent assistance is available:

Calculation of gross benefit

- One child 22 790 per month
- 2 children 24 590 per month
- 3 or more children  $24\,590 + 920 \cdot (n-2)$  per month

Reference date for all information is **July 1<sup>st</sup> 2015**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

\*n = the number of children

\* before the 1<sup>st</sup> of April following their 18<sup>th</sup> birthday, and for children under 20 years that are recipients of supplementary disability assistance.

#### 4.2.1.1 Irregular additional payments

Winter supplementary assistance (in Tokyo, in JPY per month) is provided 5 months a year (from November to March).

\*Winter supplementary assistance is added to household expenses (Category 2).

| year | 1 person | 2     | 3     | 4     | 5 and more<br>amount to add<br>per 1 increase |
|------|----------|-------|-------|-------|-----------------------------------------------|
| 2001 | 3,130    | 4,060 | 4,840 | 5,490 | 200                                           |
| 2002 | 3,130    | 4,060 | 4,840 | 5,490 | 200                                           |
| 2003 | 3,090    | 4,010 | 4,780 | 5,420 | 200                                           |
| 2004 | 3,090    | 4,000 | 4,770 | 5,410 | 200                                           |
| 2005 | 3,090    | 4,000 | 4,770 | 5,410 | 200                                           |
| 2006 | 3,090    | 4,000 | 4,770 | 5,410 | 200                                           |
| 2007 | 3,090    | 4,000 | 4,770 | 5,410 | 200                                           |
| 2008 | 3,090    | 4,000 | 4,770 | 5,410 | 200                                           |
| 2009 | 3,090    | 4,000 | 4,770 | 5,410 | 200                                           |
| 2010 | 3,090    | 4,000 | 4,770 | 5,410 | 200                                           |
| 2011 | 3,090    | 4,000 | 4,770 | 5,410 | 200                                           |
| 2012 | 3,090    | 4,000 | 4,770 | 5,410 | 200                                           |
| 2013 | 3,090    | 4,000 | 4,770 | 5,410 | 200                                           |

| year      | 1<br>person | 2     | 3     | 4     | 5     | 6     | 7     | 8     | 9     | 10 and<br>more<br>amount to<br>add per 1<br>increase |
|-----------|-------------|-------|-------|-------|-------|-------|-------|-------|-------|------------------------------------------------------|
| 2013.8(*) | 3,040       | 3,940 | 4,690 | 5,320 | 5,520 | 5,720 | 5,910 | 6,110 | 6,310 | 200                                                  |
| 2014      | 3,080       | 3,980 | 4,750 | 5,390 | 5,590 | 5,790 | 5,990 | 6,190 | 6,390 | 200                                                  |
| 2015      | 2,580       | 3,660 | 4,160 | 4,490 | 4,620 | 4,910 | 5,120 | 5,280 | 5,450 | 170                                                  |

(\*) Since August 2013, 200 yen is added per 1 increase for more than 10 persons, and the supplementary assistance amounts are prescribed for 5 to 10 persons household respectively.

#### 4.2.1.2 Obligations of family members

Support from those responsible for dependent family members is set above the assistance.

#### 4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Earnings net of tax up to JPY 15 200 per month are disregarded. For subsequent earnings, social assistance reduces progressively according to the net amount earned. The monthly exemption is assumed to increase proportionally with gross earnings. The monthly amounts as for personal gross earnings are as follows for the same region (Grade 1-1) as for personal expenses:

| Monthly gross earnings X<br>(JPY) | Monthly threshold Y<br>(JPY) |
|-----------------------------------|------------------------------|
| 0 – 15,199                        | 0 – 15,199                   |
| 15,200-18,999                     | 15,200                       |
| 19,000+                           | +400                         |

When the net earnings exceed 19 000 yen, 400 yen is added to the amount of exemption for the first person for every 4 000 yen increase.

#### 4.3 *Tax treatment of benefit and interaction with other benefits*

Tax treatment of benefit : Not taxable.

Interaction with other benefits :

(Calculation of Assistance Amount)

Minimum living expenses – Income appropriation amount\* = Assistance amount

\*Employment income, social security benefits including pensions, and assistance from relatives are considered as income.

#### 4.4 *Benefit duration and waiting periods*

If conditions are fulfilled after the end of the benefit period, he/she can re-apply.

#### 4.5 *Treatment of particular group*

None

4.5.1 *Young persons*

4.5.2 *Older workers*

4.5.3 *Others if applicable, including disabled*

## 5. Housing benefits for rented accommodation

**The housing benefit system was introduced as a special emergency measure.** This was introduced in October 2009 to the end of fiscal year 2012. A further scheme ran from the beginning of fiscal year 2013 to the end of fiscal year 2014. In this section, we describe the latter measure, which and ended at the end of fiscal year 2014.

|                                                |                                        |                     |                                                                                                                                    |
|------------------------------------------------|----------------------------------------|---------------------|------------------------------------------------------------------------------------------------------------------------------------|
| Regular housing benefits                       | Program name in local language         |                     | Emergency housing assistance for unemployed / Rent assistance to social assistance recipients                                      |
|                                                | Entitlement depends on                 | Household type/size | Yes                                                                                                                                |
|                                                |                                        | Income              | Yes                                                                                                                                |
|                                                |                                        | Dwelling size       | No                                                                                                                                 |
|                                                |                                        | Geographic location | Yes                                                                                                                                |
|                                                |                                        | Actual rental cost  | Yes                                                                                                                                |
|                                                | Description of regular housing benefit |                     | The housing benefit system was introduced as a special emergency measure in October 2009 and ended at the end of fiscal year 2014. |
|                                                | Uprating mechanism of the benefit      |                     | No                                                                                                                                 |
| Housing related support through other benefits |                                        |                     | n.a.                                                                                                                               |

### 5.1 Conditions for receipt

Three conditions must be met in order to receive Housing Benefit:

#### 1. Income condition

| Number of family members | 1                    | 2                 | 3-                   |
|--------------------------|----------------------|-------------------|----------------------|
| Monthly earnings         | Under 138,000(*) yen | Under 172,000 yen | Under 242,000(*) yen |

(\*) the value differs by region.

#### 2. Property condition

| Number of family members | 1                 | 2                   |
|--------------------------|-------------------|---------------------|
| Savings and deposits     | Under 500,000 yen | Under 1,000,000 yen |

#### 3. Job seeking condition

- While receiving the benefit, the beneficiary should receive support such as job consultations at the Public Employment Security Office (at least twice a month) or interviews by municipal staff to secure housing and employment (at least four times a month).

- Make an employment application at least once a week in principle.

## **5.2 Calculation of benefit amount**

### **5.2.1 Calculation of gross benefit**

Rent for accommodation is provided, with maximum benefit amounts set regionally, is based on the base amount of housing assistance on public assistance and by income. The modelling uses the rates for Tokyo.

- 1 person household: benefit = rent – (net income – 84000); where the maximum allowed rent is JPY 53 700 per month (Tokyo parameters). If net income is less than JPY 84 000, the benefit is just the allowable rent.
- 2 person household: benefit = rent; where the maximum allowed rent is JPY 69 800 per month (Tokyo parameters). If net income is more than JPY 172 000, the benefit falls immediately to 0 (it is not gradually withdrawn).
- 3 or more person household: benefit = rent – (net income – 172000); where the maximum allowed rent is JPY 69 800 per month (Tokyo parameters). If net income is less than JPY 172 000, the benefit is just the allowable rent.

### **5.2.2 Income and earnings disregards**

### **5.2.3 Costs eligible for housing benefits**

## **5.3 Tax treatment of benefit and interaction with other benefits**

Housing benefit is taxable.

Interaction with other benefits: if the person is eligible for employment-related benefits, these take precedence over housing benefit.

## **5.4 Treatment of particular groups**

### **5.4.1 Young persons**

### **5.4.2 Older workers**

### **5.4.3 Others if applicable, including disabled**

**6. Family benefits**

Child Allowance, which is known as “Jido teate” in Japanese.

|                                                       |                                                                                                                                                                               |                    |                                                                                              |
|-------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------|----------------------------------------------------------------------------------------------|
| Program name (local name in parentheses if available) |                                                                                                                                                                               |                    | Child Allowance (Jido teate)                                                                 |
| Type of benefit                                       |                                                                                                                                                                               |                    | Targeted, but Special Interim Allowances for those families that are not targeted            |
| Eligibility criteria                                  | Age limits for children up to and including (in parentheses if student)                                                                                                       |                    | until the 31st of March following their 15th birthday                                        |
|                                                       | Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))                                                                         |                    | No                                                                                           |
| Upgrading mechanism of the benefit                    |                                                                                                                                                                               |                    | No                                                                                           |
| Benefit amount                                        | Benefit amount per child varies with (where +/- denotes increase/decrease: +++/-- above proportional, ++/-- proportional, +/- below proportional, +/- variable, 0: no effect) | Age of child       | +++ under 3-year-old                                                                         |
|                                                       |                                                                                                                                                                               | Number of children | +++ third and subsequent children(over 3-year-old and prior to elementary school graduation) |
|                                                       | Earnings disregard                                                                                                                                                            |                    | Full withdrawal at threshold of JPY 9 600 000 (199% of AW)                                   |
|                                                       | Withdrawal rate                                                                                                                                                               |                    | Fully withdrawn once income exceeds threshold                                                |
|                                                       | Assets part of means test?                                                                                                                                                    |                    | No                                                                                           |

**6.1 Conditions for receipt**

It is available for children until graduation from junior high school. The income cap is set at 9.6 million yen (for families with parents and two children) as a baseline level (provided for in the Cabinet order), which is applied starting from June 2012 payments.

**6.2 Calculation of benefit amount****6.2.1 Calculation of gross benefit**

A monthly payment is available for each child until the 31<sup>st</sup> of March following their 15<sup>th</sup> birthday.

1. For persons earning incomes below the income cap

- a) Under 3-year-old 15,000 yen per month
- b) Over 3-year-old and prior to elementary school graduation (for first and second children) 10,000 yen per month
- c) Over 3-year-old and prior to elementary school graduation (for third and subsequent children) 15,000 yen per month
- d) Junior high school students 10,000 yen per month

2. For persons earning incomes no less than the income cap

- Special Interim Allowances (stipulated in the supplementary provisions of the Child Allowance Act) 5,000 yen per month
- The income cap is set at 9.6 million yen (for families with parents and two children) as a baseline level (provided for in the Cabinet order), which is applied starting from June 2012 payments.

6.2.1.1 *Irregular additional payments*

None

6.2.2 *Income and earnings disregards*

None

**6.3 *Tax treatment of benefit and interaction with other benefits***

Tax treatment of benefit: Not taxable.

Interaction with other benefits: None

**6.4 *Treatment of particular groups***

***All groups are eligible as long as the conditions are fulfilled.***

6.4.1 *Young persons*

None

6.4.2 *Older workers*

None

Reference date for all information is **July 1<sup>st</sup> 2015**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

6.4.3 *Others if applicable, including disabled*

None

## **7. Childcare for pre-school children**

Day-care centres are available for children whose parents need childcare in order to work, illness, job seeking, etc. In such cases, day-care centres accept children between 0 and 6 years old prior to elementary school. In Japan, compulsory schooling starts in the April following a child's 6<sup>th</sup> birthday.

The number of children in childcare (Day-care centres, etc.):

- 0 years old: 127,562
- 1~2 years old: 793,278
- 3~5 years old: 1,452,744

(Data valid on 1/4/2013)

### **7.1 Out-of-pocket childcare fees paid by parents**

The amount of the payment of each user varies each other because the fee for day care is calculated according to parents' previous income tax or municipal tax. However, 60% of the total cost for full-time formal centre-based care is covered by the state, even for parents in full time employment (40 hours per week).

The fees for day care depend on parents' previous income tax or municipal tax. The state provides a standard classification of fees for day care. (see the list held at section 7.2.2.1.) Each municipal government configures its fees according to the list.

Childcare fees are not tax deductible, but people eligible for social assistance under Public Assistance Law are exempt from the fees.

### **7.2 Child-care benefits**

Whilst there is no such thing as child-care benefit, there is a system of primarily income-related reimbursement of child-care costs.

#### **7.2.1 Conditions for receipt**

Candidates can apply to use day-care centres if they have pre-school children and are unable to take care of their children due to work, illness etc.. The amount of support is related to income: it increases with local and central income tax (see tax system in section 10).

#### **7.2.2 Calculation of benefit amount**

##### **7.2.2.1 Calculation of gross benefit**

Municipal child-care is available. The following is used as the standard for calculating the amount of government subsidy in each municipality. The more income tax a family pays, the bigger the contribution to child-care costs:

**Standard child-care cost per child (JPY per month)**

| Category<br>* | Income tax position<br>(JPY per year) | Age of child (in years) |                         |
|---------------|---------------------------------------|-------------------------|-------------------------|
|               |                                       | < 3                     | 3 <                     |
| 1             | Eligible to social assistance         | 0                       | 0                       |
| 2             | No local tax                          | 9 000                   | 6 000                   |
| 3             | Local tax                             | 19 500                  | 16 500                  |
|               | Central tax                           |                         |                         |
| 4             | Less than 40000                       | 30 000                  | Actual cost (< 27 000)  |
| 5             | 40000 - 103000                        | 44 500                  | Actual cost (< 41 500)  |
| 6             | 103000 - 413000                       | 61 000                  | Actual cost (< 58 000)  |
| 7             | 413000 - 734000                       | Actual cost (< 80 000)  | Actual cost (< 77 000)  |
| 8             | 734000+                               | Actual cost (< 104 000) | Actual cost (< 101 000) |

\* Categories 2, 3 exclude cases which fall into categories 1, 4-7.

Categories 4-7 exclude cases which fall into category 1.

The table above is a standard costs for 8 hour use of childcare. The cost of childcare does not differ by the time used.

#### 7.2.2.2 Income and earnings disregards

As local and central income tax is taken into consideration, there are no exemptions.

#### 7.2.3 Tax treatment of benefit and interaction with other benefits

The implicit benefit is not taxable and consumption tax is not applied to formal day-care centres.

Use of a day-care centre has no effect on eligibility for other benefits.

#### 7.2.4 Treatment of particular groups

Children of single parents or families in need of special assistance are given priority access to day-care centres.

As for childcare cost of a lone parent, there is a free cost for category2, and there is a reduction of 1000 JPY per month (all ages) for category3.

When two or more children (pre-school) of the same household use day-care centres in the same time, there is a reduction of 50% of the childcare fee for the second child and there is a free childcare fee for the all children born after second child.

**8. Employment-conditional benefits**

Re-employment allowance (see section 2.4).

Please note that removal expenses are covered for people who have to move due to a job or training found by the Public Employment Security Office.

|                                                       |                                                   |                                                                                                |
|-------------------------------------------------------|---------------------------------------------------|------------------------------------------------------------------------------------------------|
| Program name (local name in parentheses if available) |                                                   | Re-employment allowance (Saisyusyoku teate)                                                    |
| Type of employment-conditional benefit                |                                                   | Re-employment allowance                                                                        |
| Beneficiaries of employment-conditional benefit       |                                                   | Unemployment benefit recipients taking up work                                                 |
| Eligibility and calculation criteria                  | Time dependency of employment-conditional benefit | No                                                                                             |
|                                                       | Child-based condition                             | No                                                                                             |
|                                                       | Influence of number of children on benefit amount | No                                                                                             |
|                                                       | Working hour criterion                            | More than 20 hours per week                                                                    |
|                                                       | Transition criterion                              | Start new job with at least 1/3 of unemployment benefit payment duration remaining             |
|                                                       | Minimum earnings criterion for eligibility        | No                                                                                             |
| Uprating mechanism of the benefit                     |                                                   | ...                                                                                            |
| Benefit calculation(1)                                | Income assessment unit(3)                         | n.a.                                                                                           |
|                                                       | (Maximum) benefit amount                          | With more than 2/3 (1/3) of the benefit duration remaining: 60% (50%) of the remaining benefit |
|                                                       | Phase-in rate                                     | n.a.                                                                                           |
|                                                       | Phase-out rate                                    | n.a.                                                                                           |

**8.1 Conditions for receipt**

Re-employment allowance is paid to an unemployment benefit recipient who acquires steady employment or starts his/her own business with more than one-third of the prescribed duration of benefit remaining.

## **8.2 Calculation of benefit amount**

### **8.2.1 Calculation of gross benefit**

The amount of re-employment allowance is equal to the remaining unemployment benefit period  $\times$  0.5 or  $0.6 \times$  the daily amount of basic allowance of unemployment benefit. The amount of allowance changes according to the remaining benefit period as follows:

| Condition                                                            | Amount                                                                                 |
|----------------------------------------------------------------------|----------------------------------------------------------------------------------------|
| More than two-thirds of the prescribed duration of benefit remaining | The remaining benefit period $\times$ 0.6 $\times$ the daily amount of basic allowance |
| More than one-third of the prescribed duration of benefit remaining  | The remaining benefit period $\times$ 0.5 $\times$ the daily amount of basic allowance |

## **8.3 Tax treatment of benefit and interaction with other benefits**

Re-employment allowance is not taxable.

## **8.4 Benefit duration**

Re-employment allowance is paid as a lump sum.

## **8.5 Treatment of particular group**

None

### **8.5.1 Young persons**

### **8.5.2 Older workers**

### **8.5.3 Others if applicable, including disabled**

**9. Lone-parent benefits****9.1 Conditions for receipt**

To be eligible for the benefit, candidates must be a lone parent with a child who has not yet reached his/her 18th birthday by 31<sup>st</sup> March of the given year.

|                                                       |                                                                                                                                                                               |                    |                                                                                                     |
|-------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------|-----------------------------------------------------------------------------------------------------|
| Program name (local name in parentheses if available) |                                                                                                                                                                               |                    | Lone parent benefit Jido fuyo teate)                                                                |
| Type of benefit                                       |                                                                                                                                                                               |                    | Targeted                                                                                            |
| Eligibility criteria                                  | Age limits for children up to and including (in parentheses if student)                                                                                                       |                    | 18                                                                                                  |
|                                                       | Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))                                                                         |                    | No                                                                                                  |
| Uprating mechanism of the benefit                     |                                                                                                                                                                               |                    | ...                                                                                                 |
| Benefit amount                                        | Benefit amount per child varies with (where +/- denotes increase/decrease: +++/-- above proportional, ++/-- proportional, +/- below proportional, +/- variable, 0: no effect) | Age of child       | 0                                                                                                   |
|                                                       |                                                                                                                                                                               | Number of children | +                                                                                                   |
|                                                       | Earnings disregard                                                                                                                                                            |                    | JPY 570000 for one dependent, increases with number of children; partial benefit for higher incomes |
|                                                       | Withdrawal rate                                                                                                                                                               |                    | n.a.                                                                                                |
|                                                       | Assets part of means test?                                                                                                                                                    |                    | ...                                                                                                 |

**9.2 Calculation of benefit amount****9.2.1 Calculation of gross benefit**

|                                 |        |                 |
|---------------------------------|--------|-----------------|
| Number of children              | 1      | 2 + X           |
| Basic amount (in JPY per month) | 42,000 | 47,000+ 3 000 X |

Reference date for all information is **July 1<sup>st</sup> 2015**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

9.2.1.1 *Irregular additional payments*

9.2.2 *Income and earnings disregards*

The benefit is means-tested.

Gross annual income minus the employment income deduction (see section 10) minus JPY 80 000 - the amount paid towards public and private insurance premiums. Income-tested thresholds are based on the number of dependents. (See the following table.)

| Number of dependents | Applicant                               |                                            |
|----------------------|-----------------------------------------|--------------------------------------------|
|                      | Income-tested threshold of full benefit | Income-tested threshold of partial benefit |
| 0                    | 190 000                                 | 1 920 000                                  |
| 1                    | 570 000                                 | 2 300 000                                  |
| 2                    | 950 000                                 | 2 680 000                                  |
| 3                    | 1 330 000                               | 3 060 000                                  |
| 4                    | 1 710 000                               | 3 440 000                                  |
| 5                    | 2 090 000                               | 3 820 000                                  |

The amount of partial benefit is calculated as follows:

- Benefit amount =  $41,990 - (\text{Amount of income} - \text{"Income -tested threshold of full benefit"}) \times 0.0185434$

If there is a second child, an additional JPY 5 000 is disbursed per month. In cases of three or more children, JPY 3 000 is added per month per child.

Reference date for all information is **July 1<sup>st</sup> 2015**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

The case of full payment

| <b>change date</b> | <b>Benefit amount<br/>(in JPY per month)</b> |
|--------------------|----------------------------------------------|
| 2002.8             | 42,370                                       |
| 2003.10            | 42,000                                       |
| 2004.4             | 41,880                                       |
| 2006.4             | 41,720                                       |
| 2011.4             | 41,550                                       |
| 2012.4             | 41,430                                       |
| 2013.10            | 41,140                                       |
| 2014.4             | 41,020                                       |

The case of partial payment

| <b>change date</b> | <b>A</b> | <b>B</b>  |
|--------------------|----------|-----------|
| 2002.8             | 42,360   | 0.0187052 |
| 2003.10            | 41,990   | 0.0185434 |
| 2004.4             | 41,870   | 0.0184913 |
| 2006.4             | 41,710   | 0.0184162 |
| 2011.4             | 41,540   | 0.0183410 |
| 2012.4             | 41,420   | 0.0182890 |
| 2013.10            | 41,130   | 0.0181618 |
| 2014.4             | 41,010   | 0.0181098 |

### 9.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

Reference date for all information is **July 1<sup>st</sup> 2015**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

**9.4      *Benefit duration***

As long as the conditions are fulfilled.

**9.5      *Treatment of particular group***

None

**9.5.1      *Young persons***

None

**9.5.2      *Older workers***

None

**9.5.3      *Others if applicable, including disabled***

None

## 10. Tax system

### 10.1 Income tax

#### 10.1.1 Tax allowances and credits

Each individual is taxed separately.

##### 10.1.1.1 Standard allowances

- *Basic allowance:* a taxpayer may deduct JPY 380 000 as a basic allowance from his or her income.
- *Allowance for spouse:* allowance equal to JPY 380 000 is given to a resident taxpayer who lives with a spouse whose income does not exceed JPY 380 000.
- *Special allowance for spouse:* the allowance included in the following table is given to a resident taxpayer who lives with a spouse:

| Spouse's income | Amount  |
|-----------------|---------|
| 0-380,000       | 0       |
| 380,001-399,999 | 380,000 |
| 400,000-449,999 | 360,000 |
| 450,000-499,999 | 310,000 |
| 500,000-549,999 | 260,000 |
| 550,000-599,999 | 210,000 |
| 600,000-649,999 | 160,000 |
| 650,000-699,999 | 110,000 |
| 700,000-749,999 | 60,000  |
| 750,000-759,999 | 30,000  |
| 760,000 or more | 0       |

- *Allowance for dependents:* if a resident taxpayer has children and other relatives whose income does not exceed JPY380 000 and who are over 15 years old, an allowance of JPY 380 000 is given for each dependent.
- *Special allowance for dependents:* if a resident taxpayer has dependents whose income does not exceed JPY380 000 and who are between 19 and 22 years old, an allowance of JPY 630 000 is given for each dependent instead of the allowances for dependents mentioned above.
- *Deduction for social insurance premiums:* the amount of social insurance premiums for a resident taxpayer or his/her dependents shall be deducted from his/her income without any ceiling.
- *Employment income deduction:* the following amounts may be deducted from employment income in calculating taxable income:
  - If gross employment income does not exceed JPY 1 800 000 the deduction is 40 per cent of salaries (etc.), but the minimum amount deductible is JPY 650 000.
  - If gross employment income exceeds JPY 1 800 000, but not JPY 3 600 000, the deduction is JPY 180 000 plus 30 per cent of salaries.
  - If gross employment income exceeds JPY 3 600 000, but not JPY 6 600 000, the deduction is JPY 540 000 plus 20 per cent of salaries.

- If gross employment income exceeds JPY 6 600 000, but not JPY 10 000 000, the deduction is JPY 1 200 000 plus 10 per cent of salaries.
- If gross employment income exceeds JPY 10 000 000, the deduction is JPY 1 700 000 plus 5 per cent of salaries.
- If gross employment income exceeds JPY 15 000 000, the deduction will be fixed at JPY 2 450 000.

As part of the FY 2012 tax reform, the upper limit on employment income deduction (JPY 2 450 000) was set for those who earn employment income more than JPY 15 000 000 as from 2013

#### 10.1.1.2 Standard tax credits

#### 10.1.2 Tax schedule

| Taxable Income (JPY) (*) |            | Tax Rate (%) | Deductible Amounts for Each Bracket (JPY) |
|--------------------------|------------|--------------|-------------------------------------------|
|                          |            | (A)          | (B)                                       |
| Over                     | Not over   |              |                                           |
|                          | 1 950 000  | 5            | --                                        |
| 1 950 000                | 3 300 000  | 10           | 97 500                                    |
| 3 300 000                | 6 950 000  | 20           | 427 500                                   |
| 6 950 000                | 9 000 000  | 23           | 636 000                                   |
| 9 000 000                | 18 000 000 | 33           | 1 536 000                                 |
| 18 000 000               |            | 40           | 2 796 000                                 |

(\*) The fraction of taxable income that is less than JPY 1 000 is rounded down.

Tax liability is obtained by multiplying the taxable income by tax rate (A) and deducting the amount (B). For example, income tax due on taxable income of JPY 7 million is:

$$7\,000\,000 \times 0.23 \text{ (A)} - 636\,000 \text{ (B)} = \text{JPY } 974\,000.$$

In addition, a taxpayer is required to file tax returns and make tax payments for additional 2.1% of the base income taxes from 2013 through 2037 annually together with the regular income tax of respective years.

#### 10.1.3 State and local income taxes

##### *General description of the system*

State and local income taxes in Japan consist of prefectural inhabitants tax levied by prefectures and municipal inhabitants tax levied by cities, towns and villages. The prefectural inhabitants tax is collected together with the municipal inhabitants tax by cities, towns and villages.

##### *Tax base*

Basically, prefectural and municipal inhabitants' taxes (local taxes) consist of two parts; one is proportional taxable income and the other is a fixed per capita amount. The way to compute the taxable income of local taxes is similar to that of the previous year's national income tax. The main difference is the amount of reliefs. For example, the amount of Basic Allowance, Allowance for Spouse, Allowance for Dependants is JPY 330 000, the amount of Special Allowance for dependants is JPY 450 000, etc. As from 1 April 2012, deduction for dependents (up to 15 years old) (JPY 330,000) and the additional part of the deduction for the specified dependents (between 16 and 18 years) (JPY 120,000) were abolished along with the change in the central government income tax.

### *Tax rate*

- The standard fixed (annual) per-capita amount of Prefectural inhabitants tax is JPY 1 500
- The standard fixed (annual) per-capita amount of Municipal inhabitants tax is JPY 3 500
- The standard rate of the Prefectural and Municipal inhabitants tax equals a proportional rate of 10 per cent (Prefectural inhabitants tax: 4 per cent, Municipal inhabitants tax: 6 per cent). (\*)

(\*) The state and local tax rate and the central government income tax rate were changed by the FY2006 tax reform. Also a new local income tax credit regime was introduced in order to alleviate the tax burden increase arising from the changes in the tax rates and in order to mitigate any increase in the tax burden arising from the difference between the personal reliefs (Basic Allowance, Allowance for Spouse, Allowance for Dependents, Special Allowance for dependents, etc.) for national income tax purposes and for inhabitant tax purposes.

| <b>Taxable income for local income tax purposes</b> | <b>The tax credit</b>                                                                                                                                                                                                                                                            |
|-----------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| JPY 2 000 000 or less                               | 5 per cent of the lesser of:<br><ul style="list-style-type: none"> <li>• total amount of differences in personal reliefs between those for national income tax purposes and for local income tax purposes; or</li> <li>• taxable income for local income tax purposes</li> </ul> |
| More than JPY 2 000 000                             | ((total amount of differences in personal reliefs between those for national income tax purposes and for local income tax purposes) – (taxable income for local income tax purposes – JPY 2 000 000)) * 5%. The minimum credit is JPY 2 500                                      |

*Note:* Local authorities do not levy the per-capita rate and the proportional rate on a taxpayer whose previous year's income does not exceed a certain amount. For example, in special wards of Tokyo, this threshold is calculated as follows:

- per-capita rate: (1 + number of spouse and dependent(s) qualified for the allowance for spouse/dependents) \* 350,000 (+ 210,000 in case the taxpayer has a qualified spouse or dependent(s))
- proportional rate: (1 + number of spouse and dependent(s) qualified for the allowance for spouse/dependents) \* 350,000 (+ 320,000 in case the taxpayer has a qualified spouse or dependent(s))

### *Tax rate selected for this study*

Country-wide rates as described above. The local income tax rates chosen for the purpose of the modelling represent a country-wide average.

## **10.2 Treatment of family income**

Each individual is taxed separately.

### **10.3 Social security contributions and payroll taxes**

#### **10.3.1 Contributions payable by employees and benefit recipients**

- Pension: 8.737 per cent (8.914 per cent as from September 2015) of total remuneration (standard remuneration and bonuses). The insurable ceiling of the monthly amount of pensionable remuneration is JPY 620,000 and the insurable ceiling of the standard amount of bonus is JPY 1,500,000.
- Sickness: 5.00 per cent of total remuneration (standard remuneration and bonuses). The insurable ceiling of the monthly amount of standard remuneration is JPY 1,210,000 and the insurable ceiling of the yearly amount of standard bonus is JPY 5,400,000.
- Unemployment: 0.5 per cent of total remuneration.
- Work injury and family allowance: None.

#### **10.3.2 Contributions payable by employers**

- Pension: 8.737 per cent (8.914 per cent as from September 2015) of total remuneration (standard remuneration and bonuses). The insurable ceiling of the monthly amount of pensionable remuneration is JPY 620,000 and the insurable ceiling of the standard amount of bonus is JPY 1,500,000.
- Sickness: 5.00 per cent of total remuneration (standard remuneration and bonuses). The insurable ceiling of the monthly amount of standard remuneration is JPY 1 210 000 and the insurable ceiling of the yearly amount of standard bonus is JPY 5 400 000.
- Unemployment: 0.85 per cent of total remuneration.
- Work injury: 0.25 per cent to 8.8 per cent of total remuneration, the contribution rate depending on each industry's accident rate over the last three years and other factors. There are twenty-nine rates for fifty-four industrial categories at present.
- Family allowance: 0.15 per cent of total remuneration (part of that is used for other services)

#### **10.3.3 Payroll taxes**

### **10.4 Treatment of particular group**

#### **10.4.1 Young persons**

#### **10.4.2 Older workers**

#### **10.4.3 Others if applicable**

Reference date for all information is **July 1<sup>st</sup> 2015**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

11. *Part-time work*

**11.1 *Special benefit rules for part-time work***

Minimum of 12 months of insured work in the last 24 months (with minimum 20 hours of work per week and minimum 11 days of work per month) are required to be eligible for unemployment benefits.

**11.2 *Special tax and social security contribution rules for part-time work***

None

## **12. Policy developments**

### **12.1 Policy changes introduced: 2<sup>nd</sup> July 2014 – 1<sup>st</sup> July 2015**

- The range of contribution rate for work injury will be revised to 0.25 per cent to 8.8 per cent of total remuneration from April 1 2015. This rate depends on each industry's accident rate over the last three years and other factors. There are twenty-nine rates for fifty-four industrial categories.
- The insurable ceiling of the monthly amount of standard remuneration for health insurance will be increased from JPY 1 210 000 to JPY 1 390 000 and the insurable ceiling of the yearly amount of standard bonus will be increased from JPY 5 400 000 to JPY 5 730 000 from April 2016.
- The provision of benefits for securing housing who lost or likely to lose residence because of poverty due to unemployment had been institutionalized by Act for self-reliance of poor persons from April 2015.
- The restriction on double payment of child-rearing allowances and public pension was removed ,it was allowed the payment of the difference when the amount of pension is less than the amount of the allowance from December 2014.
- In order to support medium to long-term career development, Specialised Practical Educational Training Benefits (which cover 40- 60% of the total cost for taking specialised practical courses designated by the Minister of Health and Labour, Welfare) was established in October 2014.

### **12.2 Future policy changes announced since July 2015**

## ANNEX

### DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

#### **Social security contributions to general government**

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

#### **Social security contributions paid to institutions outside general government**

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasi compulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

#### **Payroll taxes**

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.